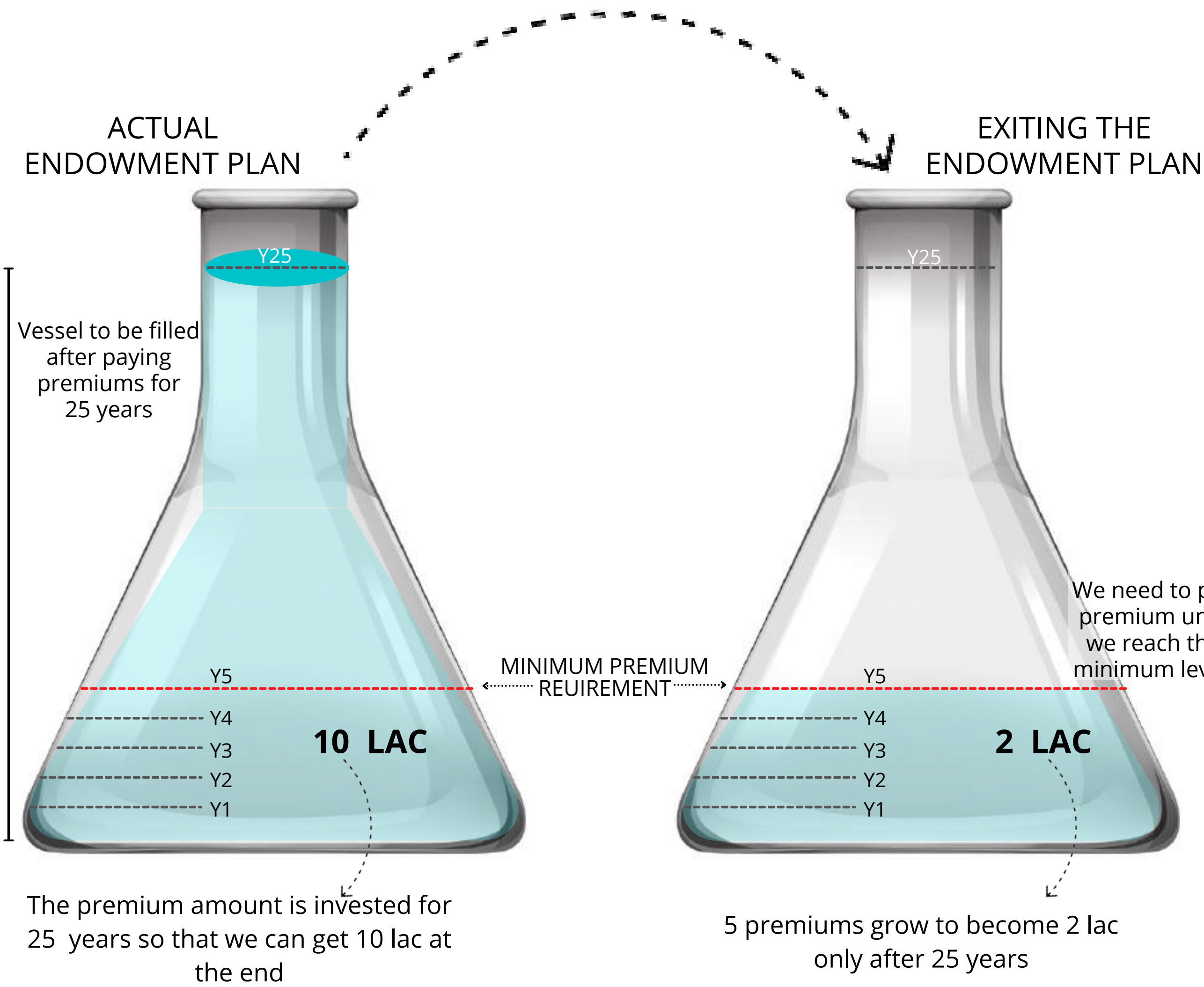
We will buy term plans and not endowment plans that have an investment element. Now, what if someone has an ongoing endowment plan. In such scenarios, the person can shift to a term plan going ahead. This will take a little bit of effort, but it sure is worth it. They need to visit the insurance company where the endowment plan is ongoing and understand the redemption policy and the discontinuation policy i.e.under what circumstances can they redeem the endowment plan investments and what happens to their money in case they discontinue the policy and stop paying premiums.

Generally, according to the ' Redemption Policy and the Discontinuation Policy', on paying a minimum number of premiums towards the endowment plan (for example, at least 5-year premiums for a 25-year plan), we do not have to pay the remaining premiums; a pro-rata (proportional) amount of the maturity lump-sum is paid back to us on maturity. For instance, a plan required us to pay Rs. 10,000 per year for 25 years and in return it promises to pay Rs. 10 lac at maturity. If we pay the premium for the first 5 years (1/5th of total premium payments) and then discontinued, we will get Rs. 2 lacs (1/5th of maturity lump-sum i.e. Rs 10 lac) as lump-sum at the end of the 25th year. This means we will get back the investment component of the premiums that we have paid along with the interest earned on it.



After reaching the minimum level, we will discontinue premium payments & start with the Term Plan. At the maturity ie after 25 years, we will get a lump sum payment of 2 lac for the 5 premiums we had paid.